

TAB 6



Board of Education Report

File #: Rep-133-24/25, **Version:** 1

FY24 Capital Facilities Fund (School Impact Fees) Annual Accounting Report

December 10, 2024

Office of the Chief Financial Officer

Action Proposed:

Adopt the attached resolution (Attachment A) regarding the Capital Facilities Fund Annual Accounting Report (Attachment B) in accordance with Government Code Sections 66000 et seq.

Background:

Education Code Section 17620 allows school districts to assess fees on residential and commercial construction within their respective boundaries when a reasonable relationship exists between the need for new or reconstructed school facilities and resident, commercial, and industrial development. These fees are paid by property owners and developers to school districts to mitigate the impact created by new development within a school district's boundaries on the school facilities.

School impact fees may be used only for the (a) construction and reconstruction of school facilities, (b) costs associated with conducting any study, finding, needs analysis or determination required as part of the process to adopt the school impact fees, (c) costs for administering the fee, and (d) costs associated with conducting the meeting(s) required for levying a fee. Education Code section 17620 clarifies that the "construction or reconstruction of school facilities" does not encompass: (a) regular maintenance or routine repair of school buildings and facilities, (b) the inspection, sampling, analysis, encapsulation, or removal of asbestos-containing materials except where incidental to school facilities construction or reconstruction, or (c) or deferred maintenance.

Per policy (Board Report No. 240-23/24), once the costs related to administering the school impact fees and fulfilling the required analysis and reporting duties have been subtracted, the adjusted school impact fees shall be used on permissible projects that have already been approved by the Board of Education. These projects and associated funding shall be incorporated into the Facilities Services Division (Facilities) Strategic Execution Plan (SEP) unless the project's budget does not include bond funding.

Attachment C lists the FY24 expenditures for construction and reconstruction of school facilities expenditures on permissible projects that have been approved by the Board and incorporated into the Facilities SEP.

Per Government Code section 66000 et seq., a school district that collects school impact fees is obliged to provide an annual financial report of fees collected, including starting and ending balances, collected fee amounts, and interest earned. This report must be submitted within 180 days after the conclusion of each fiscal year (refer to Attachments B and C).

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Expected Outcomes:

The District shall be in compliance with Government Code Sections 66000 et seq.

Board Options and Consequences:

If the Board does not adopt the resolution regarding the annual accounting report, the District shall be out of compliance with the requirements of Government Code Sections 66000 et seq. This may negatively impact the District's ability to assess school impact fees or require the refunding of unspent school impact fees proceeds.

Policy Implications:

In accordance with the School Impact Fees Policy, the Chief Financial Officer is presenting the annual accounting report of the Capital Facilities Fund's beginning and ending balances, fees collected, interest and other income received, expenditures by project and refunds made for fiscal year 2024.

Budget Impact:

None.

Student Impact:

School impact fees assessed upon new residential, commercial or industrial development projects located within District boundaries are used to provide funds for construction and reconstruction of school facilities to accommodate students generated from new development projects. School impact fees are only allocated to permissible projects that have already been approved by the Board. These projects are incorporated into the Facilities SEP unless the project's budget does not include local bond funding. Projects funded in full or partially by School Impact Fee revenue, may provide additional capacity to accommodate an increase in students in a certain neighborhood(s) and/or provide reconstructed/modernized school facilities to ensure schools are safe and can be occupied, and that the District can maintain existing levels of service for students, and has facilities in place to accommodate additional students from residential developments.

Equity Impact:

Not applicable.

Issues and Analysis:

None.

Attachments:

Attachment A - Resolution of the Board of Education of Los Angeles Unified School District
Adopting the Annual Accounting Report
Attachment B - Description of the Fund and Financial Information
Attachment C - Detailed Listing of Expenditures

Informatives:

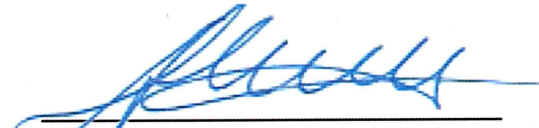
None

Submitted:

12/05/24, Revision # 1

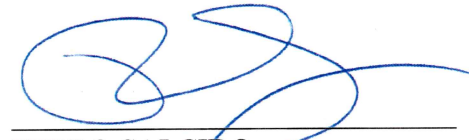
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RESPECTFULLY SUBMITTED,



ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:



PEDRO SALCIDO
Deputy Superintendent
Office of the Deputy Superintendent

REVIEWED BY:



DEVORA NAVERA REED
General Counsel

☒ Approved as to form.

APPROVED & PRESENTED BY:



CHRIS MOUNT-BENITES
Interim Chief Financial Officer
Office of the Chief Financial Officer

REVIEWED BY:



NOLBERTO DELGADILLO
Deputy Chief Financial Officer

☒ Approved as to budget impact statement.

Attachment A

RESOLUTION OF THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT ADOPTING THE ANNUAL ACCOUNTING REPORT

WHEREAS, pursuant to its authority under Education Code Sections 17620 et seq. and Government Code Sections 65995 et seq., the District has assessed residential school impact fees and commercial/industrial school impact fees on construction and reconstruction projects within its boundaries; and

WHEREAS, the District has placed all fees it has received from such assessments in a separate non-co-mingled capital facilities fund (hereinafter the “Capital Facilities Fund”) established for such purposes pursuant to Government Code Section 66000 et seq; and

WHEREAS, the District has made available to the public within one hundred and eighty (180) days after the last day of its fiscal year, an Annual Capital Facilities Fund Accounting Report (hereinafter “Annual Accounting Report”) which describes the type of Capital Facilities Fund into which school impact fees were placed, the amount of the fee, the beginning and ending balances of this Fund, the amount of fees collected and interest earned, the identification of expenditures made by project; and

WHEREAS, the Annual Accounting Report has determined that in FY24, no refunds were made due to unexpended school impact fees; and

WHEREAS, the District has, at least 15 days prior to the Board of Education meeting, made the Annual Accounting Report available to the public by making it available at the Board Secretariat’s Office, the Controller’s Office, and the Developer Fee Program Office; and

WHEREAS, the District has not received any written requests from interested parties for a mailed notice of this meeting; therefore, be it

RESOLVED, that the Board adopts the Capital Facilities Fund (School Impact Fees) Annual Accounting Report which is attached as Attachment B.

ADOPTED this ____ day of _____ 2024.

Board President

ATTEST:

Michael McLean, Executive Officer of the Board

ATTACHMENT B
Description of the Fund and Financial Information
LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES FUND
FY24 ANNUAL ACCOUNTING REPORT

I. DESCRIPTION OF FUND

The Capital Facilities Fund is used to account for resources received from school impact fees assessed upon residential and commercial/industrial construction or reconstruction projects located within the boundaries of Los Angeles Unified School District (the “District”) in order to provide funds to help relieve overcrowded conditions at District schools.

The rates assessed for FY24 are as follows:

Type	Rate Per Assessable Square Foot		Period in Force
	FY23	FY24 ¹	
Level 1 Residential	\$4.79	\$5.17	7/1/2023-06/30/2024
Level 1 Commercial/Industrial	\$0.78	\$0.84	7/1/2023-06/30/2024
Self-Storage	\$0.24	\$0.28	7/1/2023-06/30/2024
Parking Structures	\$0.34	\$0.39	7/1/2023-06/30/2024

¹The new rates were effective on June 8, 2024.

II. FINANCIAL INFORMATION

Revenues and Other Sources		
Beginning Fund Balance - July 1, 2023		\$ 39,703,611.99
Gross School Impact Fees Collection	\$ 92,973,501.34	
Less: Refunds*	(8,813,304.00)	
Net School Impact Fees Collection	84,160,197.34	
Unrealized Gain/(Loss) on Investment	58,089.71	
Interest Income	1,843,379.95	
Interfund Transfer In	1,648,536.77	
Total Revenues		87,710,203.77
Total Revenues and Beginning Balance		\$ 127,413,815.76
Expenditures and Other Uses		
Less: Total Expenditures**		(86,699,997.06)
ENDING FUND BALANCE - June 30, 2024		\$ 40,713,818.70

*Refunds are issued for certain exemptions under the School Impact Fees Policy, such as demolition credit and senior citizen housing. This amount does not represent unexpended School Impact Fees.

**See Attachment C for a detailed listing of expenditures.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES FUND (SCHOOL IMPACT FEES)
DETAILED LISTING OF FY24 EXPENDITURES**

SAP Project Number	Project Name	Estimated Construction Start***	Actual Construction Start***	Estimated Construction Completion	% of School Impact Fees to Total Budget	School Impact Fees Expenditures FY24
Priority III, School Impact Fees Policy						
a) New Construction						
F-300285	Central Los Angeles HS #11	Construction Completed **			65.9%	12,285.93
F-307759	International Studies Learning Center Addition	Construction Completed **			100.0%	178,443.25
F-308220	South Gate MS - Phased Portable Removal *	Construction Completed **			100.0%	2,040,730.66
b) Modernization						
F-308140	Venice HS - Comprehensive Modernization	Construction Completed **			38.5%	83,576.43
F-308143	Cleveland HS - Comprehensive Modernization	Construction Completed **			39.9%	75,527.33
F-308810	156th St. ES - Classroom Replacement	Construction Completed **			42.4%	-
F-308813	Ascot ES - Comprehensive Modernization	2020 - Q1	2021 - Q2	2025 - Q2	0.1%	-
F-308105	Sherman Oaks Center for Enriched Studies - Comprehensive Modernization	2018 - Q3	2019 - Q1	2025 - Q3	42.7%	189,941.00
F-309776	South Shores Magnet ES - Classroom Replacement	2021 - Q4	2021 - Q4	2025 - Q3	13.5%	83,987.74
F-308814	Belvedere MS - Comprehensive Modernization	2020 - Q1	2021 - Q3	2025 - Q4	22.9%	3,033,364.15
F-308815	Shenandoah ES - Comprehensive Modernization	2020 - Q1	2021 - Q3	2025 - Q4	18.0%	4,252,821.74
F-308795	McKinley ES - Comprehensive Modernization	2020 - Q1	2021 - Q1	2026 - Q1	14.2%	4,042,806.42
F-308104	Roosevelt HS - Comprehensive Modernization	2018 - Q3	2019 - Q1	2026 - Q2	23.7%	-
F-308802	Reseda HS - Comprehensive Modernization	2020 - Q1	2022 - Q1	2026 - Q3	18.4%	10,092,129.95
F-308241	Grant HS - Comprehensive Modernization	2018 - Q3	2020 - Q3	2026 - Q4	36.0%	-
F-308243	Polytechnic HS - Comprehensive Modernization	2019 - Q1	2020 - Q3	2026 - Q4	27.2%	3,557,248.86
F-308101	Jefferson HS - Comprehensive Modernization	2018 - Q3	2022 - Q3	2026- Q2	4.0%	-
F-308103	Huntington Park HS - Comprehensive Modernization	2018 - Q3	2020 - Q4	2027 - Q1	13.1%	61,611.64
F-308793	92nd St. ES - Comprehensive Modernization	2020 - Q1	2021 - Q3	2027 - Q1	8.3%	4,486,621.40
F-308244	North Hollywood HS - Comprehensive Modernization	2019 - Q1	2021 - Q1	2027 - Q2	18.3%	6,780,496.80
F-309775	Dixie Canyon Community Charter ES - Classroom Replacement	2022 - Q2	2022 - Q2	2027 - Q2	4.1%	60,960.09
F-309773	Canyon Charter ES - Classroom Replacement	2022 - Q2	2024 - Q1	2028 - Q1	3.5%	92,287.06
F-308139	Burroughs MS - Comprehensive Modernization	2018 - Q4	2022 - Q2	2028 - Q2	12.8%	10,934,512.56
F-308794	Elizabeth Learning Center - Comprehensive Modernization	2020 - Q1	2022 - Q1	2028 - Q2	1.9%	11,147.07
F-309777	Delevan ES - Classroom Replacement	2022 - Q3	2023 - Q4	2028 - Q2	4.1%	251,124.02
F-308819	Hamilton HS - Comprehensive Modernization	2020 - Q1	2026 - Q1	2028 - Q3	0.9%	-
F-309774	Castle Heights ES - Classroom Replacement	2022 - Q3	2024 - Q2	2028 - Q4	3.4%	20,715.38
F-309778	Franklin ES - Classroom Replacement	2022 - Q4	2024 - Q1	2028 - Q4	5.2%	131,429.13
F-308788	Lincoln HS - Comprehensive Modernization	2020 - Q1	2023 - Q3	2029 - Q1	4.3%	7,597,309.03
F-308801	Kennedy HS - Comprehensive Modernization	2020 - Q1	2023 - Q1	2029 - Q1	9.5%	15,967,942.26
F-308102	San Pedro HS - Comprehensive Modernization	2018 - Q3	2021 - Q2	2029 - Q2	22.8%	4,971,992.79
F-308789	Taft HS - Comprehensive Modernization	2020 - Q1	2021 - Q4	2029 - Q2	4.3%	5,933,923.64
Priority III, School Impact Fees Policy Total						\$ 84,944,936.33
Other Expenditures						
Admin	Collection Costs				100.0%	832,883.98
Admin	Fee Studies/Audit Costs/CLA/Other Costs				100.0%	922,176.75
Other Expenditures Total						\$ 1,755,060.73
GRAND TOTAL						\$ 86,699,997.06

* The project at South Gate MS is part of the scope of the International Studies Learning Center Addition project.

** Construction completed, pending closeout. The completion date typically refers to the conclusion of the main construction contract or scope of the project at which point the school is ready for student occupancy. After this date, trailing charges may persist related to punchlist items, entitlement work, permit closeout and legal and labor compliance issues that need to be paid before the project can be completely closed out.

*** Due to updated disclosure requirements beginning January 1, 2024, the methodology for determining the start date of each project has been updated in FY24 to use the Notice to Proceed date instead of the DSA Approval date. This date most accurately portrays the actual start date of the project. The estimated construction start date represents the construction start date that appears on the Board Report for each project. Apart from this update in methodology, actual construction start dates differ from the estimated start dates due to additional scope added to the project.